# SUBCONTRACT AGREEMENT: ROOFING AND SHEET METAL

This Subcontract Agreement (the "Subcontract") is entered into as of August 1, 2025 (the "Effective Date") by and between **Redwood Peak Construction Co.**, a California corporation, California Contractor's License No. 918442 (Class B), with its principal office at 2210 Industrial Way, Suite 300, Petaluma, California 94954 (the "Contractor"), and **Precision Roofing & Sheet Metal**, a California corporation, California Contractor's License No. 1063271 (Classes C-39 and C-43), with its principal office at 845 Bellevue Avenue, Santa Rosa, California 95407 (the "Subcontractor").

The Contractor has entered into a prime contract (the "Prime Contract") with the **City of Santa Rosa** (the "Owner") for construction of the project known as **Fire Station 5 Replacement**, located at 2759 Newanga Avenue, Santa Rosa, California (the "Project"). The Contractor wishes to engage the Subcontractor to perform a portion of the work under the Prime Contract, and the Subcontractor is willing to perform that work on the terms stated below.

In consideration of the mutual promises in this Subcontract, the parties agree as follows.

## ARTICLE 1 — DEFINITIONS

1.1 "Contract Documents" means the Prime Contract, including its general, supplementary and special conditions, the Project drawings and specifications issued by the Owner's architect, all addenda issued before execution of the Prime Contract, and all modifications issued after it, together with this Subcontract and its exhibits.

1.2 "Subcontract Work" means all labor, materials, equipment, supervision, transportation, permits specific to the trade, and services needed to complete the work described in Article 2, together with work reasonably inferable from the Contract Documents as necessary to produce the intended result.

1.3 "Subcontract Sum" means the amount stated in Section 4.1, as adjusted by executed Change Orders.

1.4 "Final Completion of the Subcontract Work" means the date on which the Subcontract Work is fully complete, all punch list items are corrected, and all closeout documents required by Article 13 are delivered to and accepted by the Contractor.

1.5 "Retention" means the portion of each progress payment withheld by the Contractor under Article 8.

1.6 "Backcharge" means any cost, expense or damage incurred by the Contractor because of the Subcontractor's failure to perform under this Subcontract, including costs of corrective work, cleanup, schedule recovery, and damage to the work of others.

## ARTICLE 2 — SCOPE OF SUBCONTRACT WORK

2.1 The Subcontractor shall furnish and install all roofing and sheet metal work for the Project as described in the Contract Documents, including the following specification sections of the Project Manual dated March 14, 2025:

(a) Section 07 22 16, Roof Board Insulation; (b) Section 07 54 23, Thermoplastic-Polyolefin (TPO) Roofing; (c) Section 07 62 00, Sheet Metal Flashing and Trim; (d) Section 07 71 23, Manufactured Gutters and Downspouts; (e) Section 07 72 00, Roof Accessories, including roof hatches and walkway pads; and (f) Section 07 92 00, Joint Sealants, to the extent sealants are part of roofing and flashing assemblies.

2.2 The Subcontract Work includes roof deck inspection and preparation before installation, the vapor retarder, tapered and flat insulation, cover board, membrane, all base and counter flashings, metal coping, scuppers, gutters, downspouts, roof hatch installation, curbs flashing at mechanical penetrations, and the manufacturer's twenty-year no-dollar-limit system warranty.

2.3 The Subcontract Work excludes structural roof deck, wood blocking (except blocking shown on roofing details as provided by roofer), mechanical equipment curbs furnished by others, and rooftop photovoltaic racking. The Subcontractor shall coordinate flashing of photovoltaic standoffs with the installer of that system.

2.4 The Subcontractor has examined the Contract Documents and the Project site and accepts the conditions under which the Subcontract Work will be performed. No additional compensation will be allowed for conditions that a reasonable inspection would have disclosed.

**ARTICLE 3 — CONTRACT DOCUMENTS AND FLOW-DOWN**

3.1 The Subcontractor is bound to the Contractor by the terms of the Contract Documents, and assumes toward the Contractor all obligations and responsibilities that the Contractor assumes toward the Owner under the Prime Contract, to the extent they apply to the Subcontract Work.

3.2 The Contractor has made the Contract Documents available to the Subcontractor for review before execution of this Subcontract. The Subcontractor acknowledges that it has reviewed them.

3.3 If a provision of this Subcontract conflicts with a provision of the Prime Contract, the provision that imposes the more stringent obligation on the Subcontractor governs, unless California law requires otherwise.

**ARTICLE 4 — SUBCONTRACT SUM**

4.1 The Contractor shall pay the Subcontractor for full performance of the Subcontract Work the sum of **Four Hundred Twenty Thousand Dollars ($420,000.00)**, subject to additions and deductions by Change Order as provided in Article 10.

4.2 The Subcontract Sum includes all applicable sales and use taxes, prevailing wages, fringe benefits, payroll taxes, insurance, bond premiums, and the Subcontractor's overhead and profit.

4.3 The Subcontract Sum is allocated in the Schedule of Values attached as an exhibit. The Schedule of Values will be used to evaluate payment applications only. It does not limit the Subcontractor's obligation to complete the entire Subcontract Work for the Subcontract Sum.

**ARTICLE 5 — TIME AND SCHEDULE**

5.1 The Subcontractor shall begin the Subcontract Work upon written notice from the Contractor and shall perform it in accordance with the Contractor's Project schedule, as updated from time to time. Time is of the essence in this Subcontract.

5.2 The Subcontractor shall provide adequate crews, materials and equipment to maintain the schedule, and shall attend weekly coordination meetings at the Project site.

5.3 The roof must be weathertight no later than the dry-in milestone shown on the Contractor's schedule. The Subcontractor shall provide temporary weather protection at the end of each workday for any area of roof not fully closed in.

5.4 If the Subcontractor is delayed by causes beyond its control and without its fault, it may request an extension of time by written notice to the Contractor within five (5) working days after the delay begins. The Subcontractor's sole remedy for such delay is an extension of time, except to the extent the Contractor recovers delay compensation from the Owner on account of the Subcontractor's delay.

**ARTICLE 6 — APPLICATIONS FOR PAYMENT**

6.1 On or before the twentieth (20th) day of each month, the Subcontractor shall submit to the Contractor an application for payment covering Subcontract Work performed through the end of that month, itemized according to the Schedule of Values.

6.2 Each application shall include updated certified payroll records for the period, the lien waiver documents required by Article 9, and any other supporting information the Contractor reasonably requests.

6.3 The Contractor shall pay for materials only when they are incorporated into the Subcontract Work. **No payment will be made for materials or equipment stored on or off the Project site, whether or not delivered, until those materials or equipment are installed.**

6.4 The Contractor will include the approved amount of the Subcontractor's application in the Contractor's own application to the Owner. The Contractor may adjust the Subcontractor's application to reflect the actual percentage of completion.

**ARTICLE 7 — TIMING OF PROGRESS PAYMENTS**

7.1 The parties agree in writing that progress payments under this Subcontract are made on a pay-when-paid basis. **The Contractor shall pay the Subcontractor each progress payment within seven (7) days after the Contractor receives payment from the Owner for the Subcontract Work included in that payment.**

7.2 The amount of each progress payment is the value of Subcontract Work completed and approved in the application, less Retention under Article 8, less amounts withheld under Article 11, and less previous payments.

7.3 This Article fixes the time for payment. It does not shift to the Subcontractor the risk of the Owner's nonpayment. If the Owner fails to pay the Contractor for reasons not caused by the Subcontractor, the Contractor shall pay the Subcontractor within a reasonable time.

7.4 Payment of any progress payment does not mean the Contractor accepts any defective or nonconforming Subcontract Work.

**ARTICLE 8 — RETENTION**

8.1 **The Contractor shall withhold ten percent (10%) of each progress payment as Retention.**

8.2 **The Contractor shall cease withholding Retention once the total Retention held equals five percent (5%) of the Subcontract Sum.** Based on the Subcontract Sum stated in Section 4.1, this limit is Twenty-One Thousand Dollars ($21,000.00). If the Subcontract Sum changes by Change Order, the limit will be recalculated as five percent (5%) of the adjusted Subcontract Sum. After the limit is reached, the Contractor shall pay progress

payments without further Retention, except to the extent needed to restore the limit following an increase in the Subcontract Sum.

8.3 **Retention shall be released upon Final Completion of the Subcontract Work and Contractor's receipt of retention from Owner. The Contractor shall pay the Retention to the Subcontractor within ten (10) days after both conditions are satisfied.**

8.4 As a condition of the release of Retention, the Subcontractor shall deliver a conditional waiver and release on final payment, the closeout documents required by Article 13, and evidence that all lower-tier claims have been paid or released.

## ARTICLE 9 — LIEN WAIVERS AND RELEASES

9.1 **With each application for progress payment, the Subcontractor shall deliver a conditional waiver and release on progress payment covering the amount requested.**

9.2 **Within five (5) days after the Subcontractor receives each progress payment, the Subcontractor shall deliver an unconditional waiver and release on progress payment covering the amount received.** Each application after the first will not be processed until the unconditional waiver for the prior payment has been received.

9.3 **The Subcontractor shall obtain and deliver to the Contractor matching conditional and unconditional waivers and releases from each of its lower-tier subcontractors and material suppliers whose labor or materials are included in the payment.** These lower-tier waivers are due on the same schedule as the Subcontractor's own waivers.

9.4 **All waivers and releases under this Article, from the Subcontractor and from lower tiers, shall be in the statutory forms set out in California Civil Code Sections 8132, 8134, 8136 and 8138, as applicable.** The Contractor will not accept modified or non-statutory forms.

9.5 At final payment, the Subcontractor shall deliver a conditional waiver and release on final payment, and within five (5) days after receiving final payment, an unconditional waiver and release on final payment, together with matching final waivers from all lower tiers.

9.6 Because the Project is a public work, waivers under this Article also apply to stop payment notices and payment bond claims as provided by California law.

## ARTICLE 10 — CHANGES IN THE SUBCONTRACT WORK

10.1 The Contractor may, by written order, add to, delete from, or otherwise change the Subcontract Work without invalidating this Subcontract. The Subcontract Sum and schedule will be adjusted by Change Order.

10.2 The Subcontractor shall not perform any extra or changed work without a written Change Order or written field directive signed by the Contractor's project manager. Work performed without written authorization will not be paid.

10.3 The Subcontractor shall submit its proposal for a change within seven (7) days after the Contractor's request, itemized by labor, materials, equipment and markup. Markup for overhead and profit on self-performed work may not exceed fifteen percent (15%), and on lower-tier work may not exceed five percent (5%).

10.4 When a change arises from an Owner-directed change, the Subcontractor's adjustment is limited to the amount the Owner allows for the Subcontract Work. The Contractor shall present the Subcontractor's properly documented claims to the Owner in good faith.

10.5 Pending resolution of any dispute over a change, the Subcontractor shall proceed with the work as directed.

**ARTICLE 11 — WITHHOLDING AND SETOFF**

11.1 **The Contractor may withhold from any payment due the Subcontractor an amount sufficient to cover the cost of correcting defective or nonconforming Subcontract Work that has not been remedied.** The withheld amount shall be reasonable in relation to the estimated cost of correction, and the Contractor shall release it once the work is corrected and accepted.

11.2 **The Contractor may set off against any amount due the Subcontractor under this Subcontract the amount of any Backcharge.** Before taking a setoff, the Contractor shall give the Subcontractor written notice describing the Backcharge and its amount, and shall give the Subcontractor forty-eight (48) hours to begin curing the condition, except in an emergency.

11.3 The Contractor may also withhold amounts reasonably needed to cover:

(a) stop payment notices or payment bond claims filed by persons claiming through the Subcontractor; (b) the Subcontractor's failure to submit certified payroll or required waivers; and (c) penalties assessed against the Contractor by the Owner or a public agency because of the Subcontractor's acts or omissions.

11.4 Any withholding under this Article is a good-faith dispute within the meaning of California Business and Professions Code Section 7108.5 and Public Contract Code Section 7107. The Contractor shall pay withheld amounts promptly once the reason for withholding is resolved.

**ARTICLE 12 — PUBLIC WORKS REQUIREMENTS**

12.1 The Project is a public work. The Subcontractor shall pay not less than the applicable prevailing wage rates determined by the Director of the California Department of Industrial Relations to all workers performing the Subcontract Work, and shall comply with Labor Code Sections 1720 through 1861.

12.2 The Subcontractor represents that it is registered with the Department of Industrial Relations under Labor Code Section 1725.5 and shall keep that registration current. Its registration number is PW-1000083917.

12.3 The Subcontractor shall submit certified payroll records weekly to the Contractor and through the Department's electronic certified payroll reporting system, and shall comply with the apprenticeship requirements of Labor Code Section 1777.5.

12.4 The Subcontractor shall comply with the Owner's local hiring, safety and badging requirements stated in the Contract Documents.

**ARTICLE 13 — WARRANTY, CLOSEOUT AND CORRECTION OF WORK**

13.1 The Subcontractor warrants that the Subcontract Work will be performed in a good and workmanlike manner, using new materials of the quality specified, and will conform to the Contract Documents.

13.2 The Subcontractor shall provide a workmanship warranty of five (5) years from the date of Owner acceptance of the Project, and shall obtain the roofing manufacturer's twenty-year no-dollar-limit system warranty in the Owner's name.

13.3 During the warranty period, the Subcontractor shall respond to reported leaks within twenty-four (24) hours, make temporary repairs immediately, and complete permanent repairs within ten (10) days.

13.4 Closeout documents include as-built roofing plans, manufacturer's final inspection report, warranties, operation and maintenance information for roof accessories, and a list of all lower-tier subcontractors and suppliers.

**ARTICLE 14 — INSURANCE, BONDS AND INDEMNITY**

14.1 Before starting work, the Subcontractor shall provide certificates and endorsements evidencing:

(a) commercial general liability insurance of not less than $2,000,000 per occurrence and $4,000,000 aggregate, including completed operations coverage maintained for ten (10) years after completion; (b) automobile liability of not less than $1,000,000 combined single limit; (c) workers' compensation as required by California law, and employer's liability of not less than $1,000,000; and (d) umbrella liability of not less than $5,000,000.

14.2 The Contractor, the Owner, and their officers, officials, employees and agents shall be named as additional insureds on the general liability, automobile and umbrella policies, on a primary and noncontributory basis.

14.3 The Subcontractor shall furnish performance and payment bonds, each in the full amount of the Subcontract Sum, issued by a California-admitted surety acceptable to the Contractor.

14.4 To the fullest extent permitted by law, including California Civil Code Section 2782, the Subcontractor shall defend, indemnify and hold harmless the Contractor and the Owner from claims, damages, losses and expenses arising from the performance of the Subcontract Work, to the extent caused by the negligence, recklessness or willful misconduct of the Subcontractor or anyone for whom it is responsible. This obligation does not extend to claims arising from the active negligence or willful misconduct of an indemnified party.

**ARTICLE 15 — SAFETY AND SITE CONDITIONS**

15.1 The Subcontractor shall comply with Cal/OSHA regulations, including fall protection requirements for roofing work under Title 8 of the California Code of Regulations, and with the Contractor's site safety program.

15.2 The Subcontractor shall submit a written fall protection plan and hot-work plan before mobilizing. No torch-applied materials may be used on the Project.

15.3 The Subcontractor shall keep its work areas clean, remove its debris daily to the Contractor's designated containers, and protect finished roof areas from damage by its own forces.

**ARTICLE 16 — DEFAULT AND TERMINATION**

16.1 If the Subcontractor fails to supply adequate labor or materials, fails to perform the Subcontract Work in accordance with the schedule or the Contract Documents, or otherwise materially breaches this Subcontract, the Contractor may give written notice of default. If the Subcontractor does not begin to cure within three (3) working days after that notice and diligently complete the cure, the Contractor may supplement the Subcontractor's forces or terminate this Subcontract for default.

16.2 Upon termination for default, the Contractor may take possession of materials on site and complete the Subcontract Work by any reasonable means. The Subcontractor is not entitled to further payment until the work is complete. If the cost of completion exceeds the unpaid balance of the Subcontract Sum, the Subcontractor shall pay the difference to the Contractor.

16.3 The Contractor may terminate this Subcontract for convenience on written notice if the Owner terminates the Prime Contract or for any other reason. In that case, the Subcontractor will be paid for Subcontract Work properly performed through the termination date, plus reasonable demobilization costs, but not anticipated profit on unperformed work.

**ARTICLE 17 — DISPUTE RESOLUTION**

17.1 The parties shall first attempt to resolve any dispute through good-faith negotiation between their project managers, and then between senior officers, within thirty (30) days after written notice of the dispute.

17.2 Disputes involving the Owner's acts or omissions shall be handled through the claims procedures of the Prime Contract and Public Contract Code Section 9204, and the Subcontractor agrees to be bound by the outcome to the same extent the Contractor is bound. The Contractor shall pass through the Subcontractor's claims in good faith.

17.3 Disputes not resolved by negotiation shall be resolved by litigation in the Superior Court of California, County of Sonoma, unless the parties agree in writing to mediation or arbitration.

17.4 The Subcontractor shall continue performing the Subcontract Work during any dispute.

**ARTICLE 18 — GOVERNING LAW AND GENERAL PROVISIONS**

18.1 **This Subcontract is governed by the laws of the State of California.**

18.2 The Subcontractor may not assign this Subcontract or subcontract the whole of the Subcontract Work without the Contractor's prior written consent.

18.3 Notices must be in writing and delivered by hand, by overnight courier, or by email with confirmation of receipt, to the addresses stated in the preamble or to another address a party designates in writing.

18.4 This Subcontract, including its exhibits and the Contract Documents incorporated by reference, is the entire agreement of the parties and supersedes prior negotiations and proposals. It may be amended only by a written instrument signed by both parties.

18.5 If any provision of this Subcontract is held unenforceable, the remaining provisions remain in effect, and the unenforceable provision shall be enforced to the maximum extent permitted by law.

18.6 No waiver of any breach is a waiver of any other breach. The headings in this Subcontract are for convenience only.

IN WITNESS WHEREOF, the parties have executed this Subcontract as of August 1, 2025.

**REDWOOD PEAK CONSTRUCTION CO.** By: _____ Name: Daniel R. Okafor Title: Vice President, Operations Date: _____

**PRECISION ROOFING & SHEET METAL** By: _____ Name: Marisol T. Vega Title: President Date: _____

**EXHIBIT — SCHEDULE OF VALUES**

| Item | Description | Value |
|---|---|---|
| --- | --- | --- |
| 1 | Mobilization, fall protection setup and general conditions | $12,000.00 |
| 2 | Submittals, shop drawings and manufacturer coordination | $8,000.00 |
| 3 | Roof deck preparation and vapor retarder | $46,000.00 |
| 4 | Tapered and flat insulation and cover board (Section 07 22 16) | $78,000.00 |
| 5 | TPO membrane roofing system (Section 07 54 23) | $132,000.00 |
| 6 | Sheet metal flashing, coping and trim (Section 07 62 00) | $64,000.00 |
| 7 | Gutters and downspouts (Section 07 71 23) | $28,000.00 |
| 8 | Roof hatches and roof accessories (Section 07 72 00) | $22,000.00 |
| 9 | Walkway pads and roof safety provisions | $12,000.00 |
| 10 | Manufacturer warranty, inspections and closeout documents | $18,000.00 |
| | **Subcontract Sum** | **$420,000.00** |